

UNAUDITED CONDENSED GROUP RESULTS
FOR THE SIX-MONTH PERIOD ENDED
31 DECEMBER 2025

Condensed consolidated statement of profit or loss and other comprehensive income for the six-month period ended:				
	31-Dec-2025	31-Dec-2024		
	Kshs '000	Kshs '000		
Revenue and other income	524,178	278,818		
Cost of sales	(284,431)	(165,828)		
Gross profit	239,747	112,990		
Operating expenses	(167,872)	(155,896)		
Finance costs	(82,870)	(105,702)		
Loss before tax	(10,995)	(148,608)		
Income tax expense	-	-		
Loss after tax	(10,995)	(148,608)		
Other comprehensive income	(4,098)	(15,782)		
Total comprehensive loss	(15,093)	(164,390)		
Basic and diluted earnings per share (Kshs)	(0.04)	(0.55)		
Condensed consolidated statement of financial position as at				
	31-Dec-2025	30-Jun-2025		
	Kshs '000	Kshs '000		
Non-current Assets				
Pre-Publishing costs	744,353	748,624		
Property and Equipment	469,059	479,698		
Intangible assets	50,656	50,383		
Deferred income tax	186,729	185,202		
	1,450,797	1,463,907		
Current Assets				
Inventories	352,988	482,259		
Trade and other receivables	495,502	195,644		
Cash and bank balances	44,445	89,023		
	892,935	766,926		
TOTAL ASSETS	2,343,732	2,230,833		
Total equity	3,015	18,108		
Non-Current Liabilities				
Borrowings	518,157	573,400		
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Current Liabilities				
Borrowings	573,733	442,425		
Trade and other payables	1,224,904	1,196,900		
Bank overdraft	23,923	-		
	1,822,560	1,639,325		
TOTAL EQUITY AND LIABILITIES	2,343,732	2,230,833		
Condensed consolidated statement of cashflows for the six-month period ended:				
	31-Dec-2025	31-Dec-2024		
	Kshs '000	Kshs '000		
Net cash (used in)/ generated from operating activities	(27,472)	126,273		
Net cash used in investing activities	(14,226)	(14,287)		
Net cash used in financing activities	(2,880)	(107,084)		
Net decrease in cash and cash equivalents	(44,578)	4,902		
Cash and cash equivalents at start of the period	89,023	27,533		
Cash and cash equivalents at end of the period	44,445	32,435		
Condensed consolidated statement of changes in equity for the six-month period ended:				
	Share capital & premium	Retained earnings/ (accumulated losses) & translation reserve	Non-controlling interest	Total
	Kshs '000	Kshs '000	Kshs '000	Kshs '000
At 1 July 2024	640,729	(611,459)	(5,841)	23,429
Total comprehensive loss	-	(6,217)	896	(5,321)
At 30 June 2025	640,729	(617,676)	(4,945)	18,108
Total comprehensive loss	-	(15,084)	(9)	(15,093)
At 31 December 2025	640,729	(632,760)	(4,954)	3,015

COMMENTARY ON THE RESULTS

Operating environment:

During the first half of the financial year ended 31 December 2025, the Kenyan macroeconomic environment showed gradual stabilization, supported by easing inflation and relative stability of the Kenyan shilling. However, various challenges to our business prevailed including delayed government capitation disbursements and constrained government spending resulting in delayed supply of books to public schools. In addition, sustained pressure on household disposable incomes continued to dampen discretionary spending on books.

Financial highlights:

Revenue for the period increased significantly by Kshs 245 Million, representing an 88% growth compared to the prior period, driven by expanded market coverage to schools and higher government orders. Gross margin improved to 45% from 40%, reflecting improved operational efficiencies.

Operating expenses increased by 8%, mainly attributable to increased investment in marketing and promotional activities while finance costs declined by 22% following the restructuring of short-term borrowings into longer-tenor facilities.

Consequently, Group recorded a significantly improved bottom-line performance, reducing the net loss before tax to Kshs 11 Million, compared to a net loss of Kshs 149 Million in the prior period.

Second half outlook:

The Group expects a stronger second-half performance, underpinned by improved gross margins and a strengthened diversified product portfolio and market coverage. The Board is focused on scaling our digital learning solutions, including a targeted rollout of 50,000 devices, and continued expansion of the Mybidhaa e-commerce platform.

The Board remains confident in the Group’s strategic direction and its ability to drive sustainable growth through market penetration initiatives, supported by improved operational efficiency and disciplined cost management.

By order of the Board,

Prof. Githu Muigai, EGH, SC
Group Chairman
Date 30th January 2026

Simon Ngigi
Group Managing Director